IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH (COURT– I) CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **24.03.2025** THROUGH VIDEO CONFERENCING

PRESENT: HON'BLE SHRI. SANJIV JAIN, MEMBER (JUDICIAL)
HON'BLE SHRI. VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

APPLICATION NUMBER	**:** CA(CAA)/37(CHE)2024
PETITION NUMBER	**:**
NAME OF THE PETITIONER(S)	**:** Saraf Enterprises India Pvt Ltd
NAME OF THE RESPONDENTS	**:**
UNDER SECTION	**:** Sec 230-232 of CA, 2013

ORDER

Present: None for the Applicant.

Vide separate order pronounced in Open Court, the application is disposed of. Meetings ordered.

Sd/-
(VENKATARAMAN SUBRAMANIAM)
MEMBER (TECHNICAL)

Sd/-
(SANJIV JAIN)
MEMBER (JUDICIAL)

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IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Arrangement (Merger)*

CA(CAA)/37(CHE)/2024

SARAF ENTERPRISES INDIA PRIVATE LIMITED
HAVING ITS REGISTERED OFFICE AT
168/1A SARAF HOUSE VANNI NAGAR VELLAKINAR PIRIVU,
METTUPALAYAM ROAD, COIMBATORE, TAMIL NADU - 641029.

… 1st Applicant / Demerged Company

And

SARAF TRADING CORPORATION (INTERNATIONAL) PRIVATE LIMITED
('SARAF TRADING) HAVING ITS REGISTERED OFFICE AT
SARAF HOUSE, VANNI NAGAR 168/1 A,
VELLAKINAR PIRIVU, METTUPALAYAM ROAD,
COIMBATORE, TAMIL NADU - 641034.

…. 2nd Applicant/ Resulting Company

Order Pronounced on ***24th March, 2025***

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SANJIV JAIN, MEMBER (JUDICIAL)
VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

For Applicant(s): Yogindunath S, PCS

ORDER

This is a Joint Company Application Viz., CA(CAA)/37(CHE)/2024 filed by the Applicant Companies, namely Saraf Enterprises India Private Limited (for brevity "Transferor Company") and Saraf Trading Corporation (International) Private Limited (for brevity "Transferee

Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement (Merger) (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies. The said Scheme is appended as "***Annexure 10***" to the CA/CAA/37(CHE)2024.

2. The Applicant Companies in this Company Application have sought for the following reliefs;

	EQUITY SHAREHOLDERS	PREFERENCE SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
DEMERGED COMPANY	To Dispense with	NA	NA	To Dispense with
RESULTING COMPANY	To Dispense with	NA	To Dispense with	To Dispense with

3. The reasons for the proposed scheme of demerger are stated as follows,

> *"This scheme of Merger will result in simplification of group structure and achieve cost efficiency including minimization of compliance costs. The Scheme of Merger will fully consolidate the activity of carrying on business in India or elsewhere as traders, commission agents, manufactures, buyers and sellers, importers and exporters of tea, agricultural products including spices, coffee and marine products, manufacturing, buying and selling of natural and synthetic fibres and fibre products, manufacturing, purchasing and sale of plastic and polymer products, handicrafts, industrial and construction machinery, engineering, equipment, industrial goods, automobiles and house hold items, and business of warehousing agency by*

letting out owned or hired warehouses, godowns, commercial space inter alia providing synergies in using assets, employees and brand value. The management has identified the following as the core commercial reasons in this regard:

(i) Creating an efficient structure to support and facilitate the ongoing business and expected business growth and development;

(ii) Simplification and or of the legal entity structure;

(iii) Consideration of improvements to its current business and operating model;

(iv) Reduction of operating and compliance costs;

(v) Increase intrinsic shareholder value;

(vi) Optimization and better monitoring of treasury;

(vii) Economies of scale and control;

(viii) Flexibility and robustness in structure to accommodate future business plans, acquisitions and fund raising; and

(ix) Overall ease of doing business.

The management of the Companies have concurred to the plan of restructuring for improving synergies and management focus, while creating a platform for continuous improvement in the manufacturing & selling of various products. The Board of Directors of both companies involved in the Scheme are of the opinion that the proposed restructuring should benefit the shareholders, creditors and employees of both the companies."

4. From the Certificate of Incorporation filed, it is seen that

(i) The Transferor Company is a Private company incorporated under the provisions of Companies Act, 2013 on 01.12.2021. The authorised and paid-up share capital of the Demerged Company as on 31.03.2024 are as follows,

Particulars	**Rupees**
Authorised share capital 1,00,000 Equity Shares of Rs.10/- each	10,00,000/-
Issued subscribed and paid up 50,000 Equity shares of Rs.10/-each	5,00,000/-

(ii) The Transferee Company is a Private company incorporated under the provisions of Companies Act, 2013 on 21.07.2021. The authorised and paid-up share capital of the Resulting Company as on 31.03.2024 are as follows

Particulars	**Rupees**
Authorised share capital 50,00,000 Equity Shares of Rs.10/- each	5,00,00,000/-
Issued subscribed and paid up 50,000 Equity shares of Rs.10/-each	5,00,000/-

5. The Applicant Companies have filed their Memorandum and Articles of Association *inter alia* delineating their object clauses as well as the Audited Financial Statements as on date 31.03.2023 and the Unaudited Balance Sheet as on 31.12.2023.

6. The Board of Directors of the Transferor Company and the Transferee Company vide meeting held on **05.01.2024,** have unanimously approved the proposed Scheme as contemplated above. The copies of resolutions passed thereon have been placed on record by the Applicant Companies.

7. The Appointed date as specified in the Scheme is **01.04.2023** whereas the present application has been filed on 26.03.2024. Since the Appointed date is not predated by more than a year from the date of applying before this Tribunal, the need for providing justification does not arise as per MCA circular bearing Circular No. 09/2019 dated 21.08.2019.

8. The Statutory Auditors of the Applicant Companies have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The said Certificates of the Statutory Auditors in this regard are placed at ***"Annexure 11"*** of the Applicant Companies typed set of Documents filed along with the application.

9. Taking into consideration the application filed by the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal issues the following directions:

A. IN RELATION TO SARAF ENTERPRISES INDIA PRIVATE LIMITED (TRANSFEROR COMPANY/1ST APPLICANT)

I. EQUITY SHAREHOLDERS

(i) There are **Seven (7)** Equity Shareholders. The consent affidavit of **six (6)** equity shareholders representing **90%** of the total value of equity shareholders are placed at **Pgs. 199-216**. The Certificate issued by the Chartered Accountant certifying the list of Shareholders is placed at **Pg. 111** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since only **6 (six)** Equity Shareholders representing **90%** of the total value of equity shareholders have given consents by way of Affidavits, this Tribunal orders convening, holding and conducting the meeting. Meeting of the Equity Shareholders of the Demerged Company is directed to be held on 12.05.2025 at 10.00 AM in the registered office of the Transferor Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

II. PREFERENCE SHAREHOLDERS

(i) There are **NIL** Preference Shareholders. Since it is represented by the Transferor Company that there are **NIL** Preference Shareholders, the necessity of convening, holding and conducting the meeting ***does not arise.***

III. SECURED CREDITORS

(i) There is **NIL** Secured Creditors. The Certificate by the Chartered Accountant certifying the list of Secured Creditors was filed by the Applicants by Memo vide ***S.R.No 1073*** dated ***17.03.2025***. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Transferor Company that there are ***NIL*** Secured Creditors in the Company, the necessity of convening, holding and conducting the meeting is ***does not arise.***

IV. UNSECURED CREDITORS

(i) There are **two (2)** Unsecured Creditors in the Transferor Company. The consent affidavit of **two (2)** Unsecured Creditors representing **100%** of the total value of Unsecured Creditors are placed at **Pgs. 237-240**. The Certificate by the Chartered Accountant certifying the list of Unsecured Creditors is placed at **Pg.236**. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Transferor Company that there are ***2 (two)*** Unsecured Creditors in the Company, whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

B. IN RELATION TO SARAF TRADING CORPORATE (INTERNATIONAL) PRIVATE LIMITED (TRANSFEREE COMPANY/ 2ND APPLICANT)

I. EQUITY SHAREHOLDERS

(i) There are **Seven (7)** Equity Shareholders in the Transferee Company. The consent affidavit of **six (6)** equity shareholders representing **97.5%** of the total value of equity shareholders are placed at **Pgs.217-234**. The Certificate issued by the Chartered Accountant certifying the list of Shareholders is placed at **Pg. 161** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since only **6 (six)** Equity Shareholders representing **97.5%** of the total value of equity shareholders have given consents by way of Affidavits, this Tribunal orders convening, holding and conducting the meeting. Meeting of the Equity Shareholders of the Transferee Company is directed to be held on 12.05.2025 at 11.30 AM in the registered office of the Transferor Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

II. **PREFERENCE SHAREHOLDERS**

(i) There are **NIL** Secured Creditors in the Resulting Company. Since it is represented by the Resulting Company that there are **NIL** Secured Creditors, the necessity of convening, holding and conducting the meeting ***does not arise.***

III. SECURED CREDITORS

(i) There are **NIL** Secured Creditors. The Applicant, by way of Memo dated ***17.03.2025*** vide ***S.R.No 1073*** has clarified that, in respect of Transferee Company, there are no creditors. However, it was stated in the application that there is one secured creditor because the Transferee Company has provided security over its property in favour of Union Bank of India for the borrowing of its group Company, Saraf Trading Corporation Private Limited. No Objection Certificate (NOC) from Union Bank of India is placed at **Pg. 5** of the Memo dated 17.03.2025. The Certificate of the Statutory Auditor certifying to this effect is placed at **Pg. 4** of the Memo dated 17.03.2025. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Transferee Company that there are ***NIL*** Secured Creditors in the Company, the necessity of convening, holding and conducting the meeting ***does not arise.***

IV. UNSECURED CREDITORS

(i) There are **four (4)** Unsecured Creditors in the Transferee Company. The consent affidavit of **four (4)** Unsecured Creditors representing **100%** of the total value of Unsecured Creditors are placed at **Pgs. 242-249**. The Certificate by the Chartered Accountant certifying the list of Unsecured Creditors is placed at **Pg. 241**. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Transferee Company that there are ***4 (four)*** Unsecured Creditors in the Company, whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

10. The quorum for the meeting of the Transferor and Transferee Company shall be as follows;

S.No	Company	Class	Quorum	Date	Time
1	Transferor Company	Equity Shareholders	7	12.05.2025	10.00 AM
2	Transferee Company	Equity Shareholders	7	12.05.2025	11.30 AM

i) The Chairperson appointed for the above said meetings shall be **Mr. G.S. Sudhir (*Mob: 9445503208)***. The Fee of the Chairperson for the aforesaid meeting shall be ***Rs. 60,000 (Rupees Sixty Thousand Only)*** in addition to meeting his incidental expenses. The Chairperson(s) will file the reports of the meeting within a week from the date of holding of the above said meetings

ii) **Mr. S. Salai Geethan**, **Advocate *(Mob: 9094853534)*** is appointed as a Scrutinizer and would be entitled to a fee of ***Rs. 30,000 (Rupees Thirty Thousand Only)*** for services in addition to meeting incidental expenses.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Companies through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent

under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Companies shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily *"**Financial Express" (All India Edition)***, and ***"Malai Malar" Tamil (Tamil Nadu Edition)*** in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, Registrar of Companies Coimbatore, Reserve Bank of India (RBI) and the Income Tax Authorities as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act,

2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The Applicant Companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

11. Accordingly, the Application stands **disposed of**.

-Sd-

VENKATARAMAN SUBRAMANIAN

MEMBER (TECHNICAL)

-Sd-

SANJIV JAIN

MEMBER(JUDICIAL)